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Monetary Policy

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ROLE OF CENTRAL BANKS

Learning Outcome

- describe the roles and objectives of central banks

Roles of Central Banks and Objectives of Monetary Policy

Central banks play several key roles in modern economies. Generally, a central bank is the sole supplier of the domestic currency, the banker to the government and the bankers' bank, the lender of last resort, the regulator and supervisor of the payments system, the conductor of monetary policy, and the supervisor of the banking system. Let us examine these roles in turn.

In its earliest form, money could be exchanged for a prespecified precious commodity, usually gold, and promissory notes were issued by many private banks. Today, however, state-owned institutions—usually central banks—are designated in law as being the monopoly suppliers of a currency. Initially, these monopolists supplied money that could be converted into a prespecified amount of gold; they adhered to a **gold standard**. For example, until 1931, bank notes issued by Britain's central bank, the Bank of England, could be redeemed at the bank for a prespecified amount of gold. But Britain, like most other major economies, abandoned this convertibility principle in the first half of the twentieth century. Money in all major economies today is not convertible by law into anything else, but it is, in law, **legal tender**. This means that it must be accepted when offered in exchange for goods and services. Money that is not convertible into any other commodity is known as **fiat money**. Fiat money derives its value through government decree and because people accept it for payment of goods and services and for debt repayment.

As long as fiat money is acceptable to everyone as a medium of exchange, and it holds its value over time, then it also will be able to serve as a unit of account. However, once an economy has moved to a system of fiat money, the role of the supplier of that money becomes even more crucial because they could, for example, expand the supply of this money indefinitely should they wish to do so. Central banks, therefore, play a crucial role in modern economies as the suppliers and guardians of the value of their fiat currencies and as institutions charged with the role of maintaining confidence in their currencies. As the sole suppliers of domestic currency, central banks are at the center of economic life. As such, they assume other roles in addition to being the suppliers and guardians of the value of their currencies.

Most central banks act as the banker to the government and to other banks. They also act as a **lender of last resort** to banks. Because the central bank effectively has the capacity to print money, it is in the position to be able to supply the funds to banks that are facing crisis. The facts that economic agents know that the central bank stands ready to provide the liquidity required by any of the banks under its jurisdiction and that they trust government bank deposit insurance help to prevent bank runs in the first place. However, the recent financial crisis has shown that this knowledge is not always sufficient to deter a bank run.

EXAMPLE 1

The Northern Rock Bank Run

In the latter part of the summer of 2007, the fall in US house prices and the related implosion of the US sub-prime mortgage market became the catalyst for a global liquidity crisis. Banks began to hoard cash and refused to lend to other banks at anything other than extremely punitive interest rates through the interbank market. This caused severe difficulties for a UK mortgage bank, Northern Rock. Northern Rock's mortgage book had expanded rapidly in the preceding years as it borrowed aggressively from the money markets. It is now clear that this expansion was at the expense of loan quality. The then–UK regulatory authority, the Financial Services Authority (FSA), later reported in 2008 that Northern Rock's lending practices did not pay due regard to either the credit quality of the mortgagees or the values of the properties on which the mortgages were secured. Being at the worst end of banking practice and relying heavily on international capital markets for its funding, Northern Rock was therefore susceptible to a global reduction in liquidity. As the liquidity crisis took hold, Northern Rock found that it could not replace its maturing money market borrowings. On 12 September 2007, in desperate need of liquidity, Northern Rock's board approached the UK central bank to ask for the necessary funds.

However, the news of Northern Rock's perilous liquidity position became known by the public and, more pertinently, by Northern Rock's retail depositors. On 14 September, having heard the news, queues began to form outside Northern Rock branches as depositors tried to withdraw their savings. On that day, it was estimated that Northern Rock depositors withdrew around GBP1 billion, representing 5 percent of Northern Rock's deposits. Further panic ensued as investors in "internet-only" Northern Rock accounts could not withdraw their money because of the collapse of Northern Rock's website. A further GBP1 billion was withdrawn over the next two days.

deposits. This announcement was enough to stabilize the situation and given that lending to Northern Rock was now just like lending to the government, deposits actually started to rise again.

Eventually Northern Rock was nationalized by the UK government, with the hope that at some time in the future it could be privatized once its balance sheet had been repaired.

Central banks often are charged by the government to supervise the banking system, or at least to supervise those banks that they license to accept deposits. In some countries, this role is undertaken by a separate authority. In other countries, the central bank can be jointly responsible with another body for the supervision of its banks.

Exhibit 1 lists the banking supervisors in the G–10 countries; central banks are underlined. As the exhibit shows, most but not all bank systems have a single supervisor, which is not necessarily a central bank. A few countries, such as Germany and the United States, have more than one supervisor.

Exhibit 1: Banking Supervision in the G–10

Country	Institutions
Belgium	Banking and Finance Commission
Canada	Office of the Superintendent of Financial Institutions
France	Commission Bancaire
Germany	Federal Banking Supervisory Office; Deutsche Bundesbank
Italy	Bank of Italy
Japan	Financial Services Agency
Netherlands	Bank of Netherlands
Sweden	Swedish Financial Supervisory Authority
Switzerland	Federal Commission
United Kingdom	Bank of England
United States	Office of the Comptroller of the Currency; Federal Reserve; Federal Deposit Insurance Corporation

The United Kingdom is an interesting case study in this regard. Until May 1997, the Bank of England had statutory responsibility for banking supervision in the United Kingdom. In May 1997, banking supervision was removed from the Bank of England and assigned to a new agency, the Financial Services Authority (FSA). However, the removal of responsibility for banking supervision from the central bank was seen by some as being a contributory factor in the run on the mortgage bank Northern Rock, and generally as a contributory factor in the recent banking crisis. Because of this perceived weakness in the separation of the central bank from banking supervision, the Bank of England regained responsibility for banking supervision and regulation in 2013.

Perhaps the least appreciated role of a central bank is its role in the **payments system**. Central banks are usually asked to oversee, regulate, and set standards for a country's payments system. For the system to work properly, procedures must be robust and standardized. The central bank will usually oversee the payments system and will also be responsible for the successful introduction of any new processes. Given the international nature of finance, the central bank will also be responsible for coordinating payments systems internationally with other central banks.

Most central banks are responsible for managing their country's **foreign currency reserves** as well as its gold reserves. With regard to the latter, even though countries abandoned the gold standard in the early part of the twentieth century, the world's central bankers still hold large quantities of gold. As such, if central banks were to decide to sell significant proportions of their gold reserves, it could potentially depress gold prices.

Finally, central banks are usually responsible for the operation of a country's **monetary policy**. This is arguably the highest profile role that these important organizations assume. Recall that monetary policy refers to central bank activities that are directed toward influencing the quantity of money and credit in an economy. As the sole supplier of a country's domestic currency, central banks are in the ideal position to implement and determine monetary policy.

To summarize, central banks assume a range of roles and responsibilities. They do not all assume responsibility for the supervision of the banks, but all of the following roles normally are assumed by the central bank:

- Monopoly supplier of the currency;
- Banker to the government and the bankers' bank;
- Lender of last resort;
- Regulator and supervisor of the payments system;
- Conductor of monetary policy; and

Central banks fulfill a variety of important roles, but for what overarching purpose? A perusal of the websites of the world's central banks will reveal a wide range of explanations of their objectives. Their objectives are clearly related to their roles, and so there is frequent mention of objectives related to the stability of the financial system and to the payments systems. Some central banks are charged with doing all they can to maintain full employment and output. Some also have related but less tangible roles, such as *maintaining confidence in the financial system*, or even to *promote understanding of the financial sector*. Most seem to acknowledge explicitly one overarching objective—the objective of maintaining **price stability**.

So, although central banks usually have to perform many roles, most specify an overarching objective. Exhibit 2 lists what we might call the primary objectives of a number of central banks, from both developed market and emerging market economies.

Exhibit 2: The Objectives of Central Banks

The Central Bank of Brazil

Its institutional mission is to "ensure the stability of the currency's purchasing power and a solid and efficient financial system."

The European Central Bank

"[T]o maintain price stability is the primary objective of the Euro system and of the single monetary policy for which it is responsible. This is laid down in the Treaty on the Functioning of the European Union, Article 127 (1)."

"Without prejudice to the objective of price stability", the euro system will also "support the general economic policies in the Community with a view to contributing to the achievement of the objectives of the Community." These include a "high level of employment" and "sustainable and non-inflationary growth."

The US Federal Reserve

"The Federal Reserve sets the nation's monetary policy to promote the objectives of maximum employment, stable prices, and moderate long-term interest rates."

The Reserve Bank of Australia

"It is the duty of the Reserve Bank Board, within the limits of its powers, to ensure that the monetary and banking policy of the Bank is directed to the greatest advantage of the people of Australia and that the powers of the Bank ... are exercised in such a manner as, in the opinion of the Reserve Bank Board, will best contribute to:

a. the stability of the currency of Australia;

b. the maintenance of full employment in Australia; and

c. the economic prosperity and welfare of the people of Australia."

The Bank of Korea

"The primary purpose of the Bank, as prescribed by the Bank of Korea Act of 1962, is the pursuit of price stability."

Source: "Central Bank and Monetary Authority Websites," Bank for International Settlements, http://www.bis.org/cbanks.htm.

Question Set

1. A central bank is normally *not* the:

A. lender of last resort.
B. banker to the government and banks.
C. body that sets tax rates on interest on savings.

Hide Solution

Solution:

C is correct. A central bank is normally the lender of last resort and the banker to the banks and government, but the determination of all tax rates is normally the preserve of the government and is a fiscal policy issue.

2. Which of the following *best* describes the overarching, long-run objective of most central banks?

Hide Solution

Solution:

A is correct. Central banks normally have a variety of objectives, but the overriding one is nearly always price stability.

3. Which role is a central bank *least likely* to assume?

A. Lender of last resort
B. Supplier of the currency
C. Sole supervisor of banks

Hide Solution

Solution:

C is correct. The supervision of banks is not a role that all central banks assume. When it is a central bank's role, responsibility may be shared with one or more entities.

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As we have discussed, one of the essential features of a monetary system is that the medium of exchange should have a relatively stable value from one period to the next. Arguably then, the overarching goal of most central banks in maintaining price stability is the associated goal of controlling inflation. Before we explore the tools central banks use to control inflation, we should first consider the potential costs of inflation. In other words, we should ask why it is that central bankers believe that it is so important to control a nominal variable.

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